

AEGIS & AEGIS

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Johnson & Johnson Case Competition

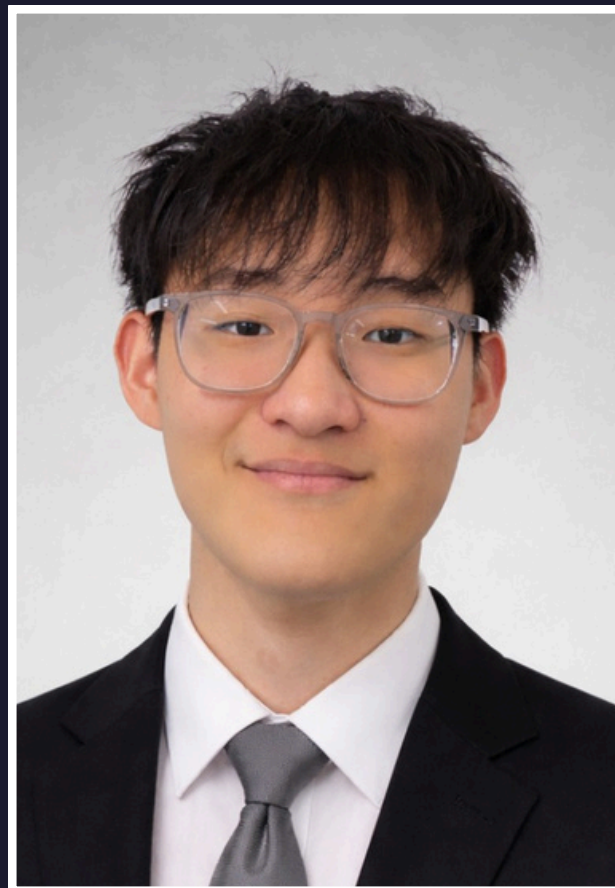


MEET THE TEAM



**NATHAN
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Accounting; Freshman



**JOSHUA
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Finance; Freshman



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**JAYSUN
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Finance; Freshman



Context & The Challenge

Understanding A&A's position before making decisions

MARKET SHIFT

7.5%

Annual Market Growth

- Non-barbed → Barbed sutures
- Robotic surgery removes old barriers
- Knotless design = faster, safer ORs

A&A's POSITION

#1

Non-Barbed Market Position

- Leader in non-barbed sutures
- Cornelia, GA manufacturing plant
- 0 barbed suture products

THE GAP

2

Technologies to Launch

- Symmetrical: IP available to buy
- Spiral: no competitor on market yet
- 5 decisions must align as a system

SWOT Analysis

Understanding A&A's position before making decisions

STRENGTHS & WEAKNESSES

Internal Factors

S STRENGTHS

Internal · Helpful

Market
Leadership

Current market leader
with 250+ operating
companies

Manufacturing
Base

Rooted Infrastructure in
Cornelia, GA

Surgeon Trust
& Reliability

Decades of clinical trust

W WEAKNESSES

Internal · Harmful

No Barbed
Product

Zero presence

No Owned IP

Every entry route costly

Revenue
Erosion

Risks eroding non-barbed
revenue

OPPORTUNITIES & THREATS

External Factors

O OPPORTUNITIES

External · Helpful

Market Shift to Barbed Sutures

Barbed adoption accelerating via robotics

Acquire Athena

Affordable, IP-eliminating acquisition

Global Distribution

Instant global reach

T THREATS

External · Harmful

Established Rivals

Rivals hold 2–7 year headstart

Substitute Technologies

Substitutes compressing suture market ceiling

Pricing Pressure

Late entry crushes already thin margins

Decisions & Rationale

What we chose, why we chose it, what we ruled out

Securing today’s market position, while building tomorrow's dominance

DECISION			WHY WE CHOSE IT
01	R&D Strategy	Internal (Spiral) + IP Purchase (Symmetrical)	✓ Builds proprietary moat on spiral; buys speed-to-market on symmetrical.
02	Pricing	Medium	✓ Keeps 80% of hospitals within reach while maintaining the margins
03	Marketing	Gold	✓ Builds the surgeon trust that drives inclusion and purchasing decisions.
04	Supply Chain	Outsource	✓ Outsourcing eliminates CapEx and launch delays
05	Human Capital	Base (Required by Outsource SC)	✓ Base HC is both required by the case rules under outsourcing

R&D Strategy

IP or Internal Development

SPIRAL → INTERNAL DEVELOPMENT

First to Market

No spiral suture exists on the market

- Owned IP — no royalty obligations
- Earlier to market → higher share
- R&D costs amortize over product life

SYMMETRICAL → IP ACQUISITION

Rapid-Entry to Market

Athena's Kronos IP - FDA-cleared since 2005

- Immediate market entry vs. rivals
- One-time cost vs. multi-year R&D burn
- Frees R&D bandwidth for spiral work

Introducing

FDA CLEARED

BarboFlex™ Suture System

Knotless wound closure for every surgical need

AVAILABLE NOW

BarboFlex™ S

Symmetrical Barbed Suture

"Reliable knotless closure - built for every OR, every surgeon."

- Unidirectional — simple, intuitive technique for any trained surgeon
- Knotless design reduces OR closure time and post-op infection risk



IDEAL FOR

- General surgery
- Orthopedics
- Cardiovascular
- Wound closure

FIRST TO MARKET · REGISTER INTEREST

BarboFlex™ X

Spiral Barbed Suture System

"The future of wound closure — engineered for the robotic OR."

- Shorter, less invasive procedures — reduced patient recovery time
- Developed and owned by A&A — the only spiral suture of its kind



IDEAL FOR

- Robotic surgery
- Laparoscopic procedures
- Complex wound closure

Pricing Strategy

Low / Medium / High

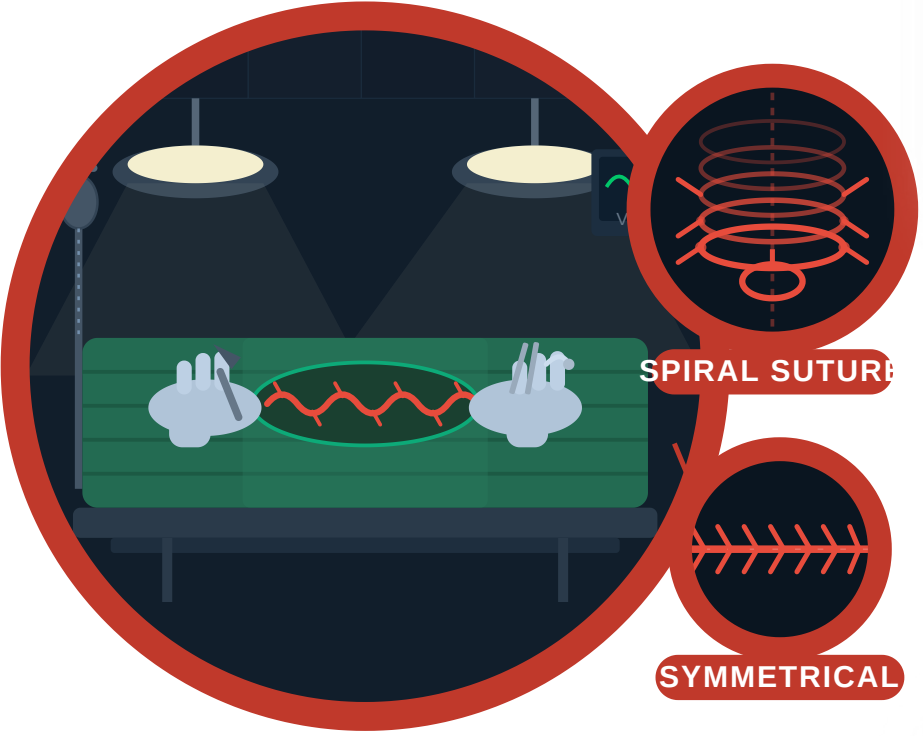
LOW	MEDIUM	HIGH
100% Target market Below market avg price ▲ Max share ▼ Erodes margin; hard to reprice Ruled out	80% Target market Market average price ▲ Share + margin balance ▼ Requires strong marketing support Selected ✓	65% Target market Above market avg price ▲ Max margin ▼ Low share; risks competitor entry Ruled out

Marketing Strategy

Bronze / Silver / Gold

AEGIS & AEGIS · MEDTECH SURGERY

Advanced
Wound Closure Portfolio



SPIRAL SUTURE

SYMMETRICAL

80%
of key platforms
#1 or #2 position



KNOTLESS DESIGN
barbed · water-tight



ROBOTIC
surgery ready

The Future of Surgery

Trust

- Surgeon confidence
- Clinical Validation
- Proof of success

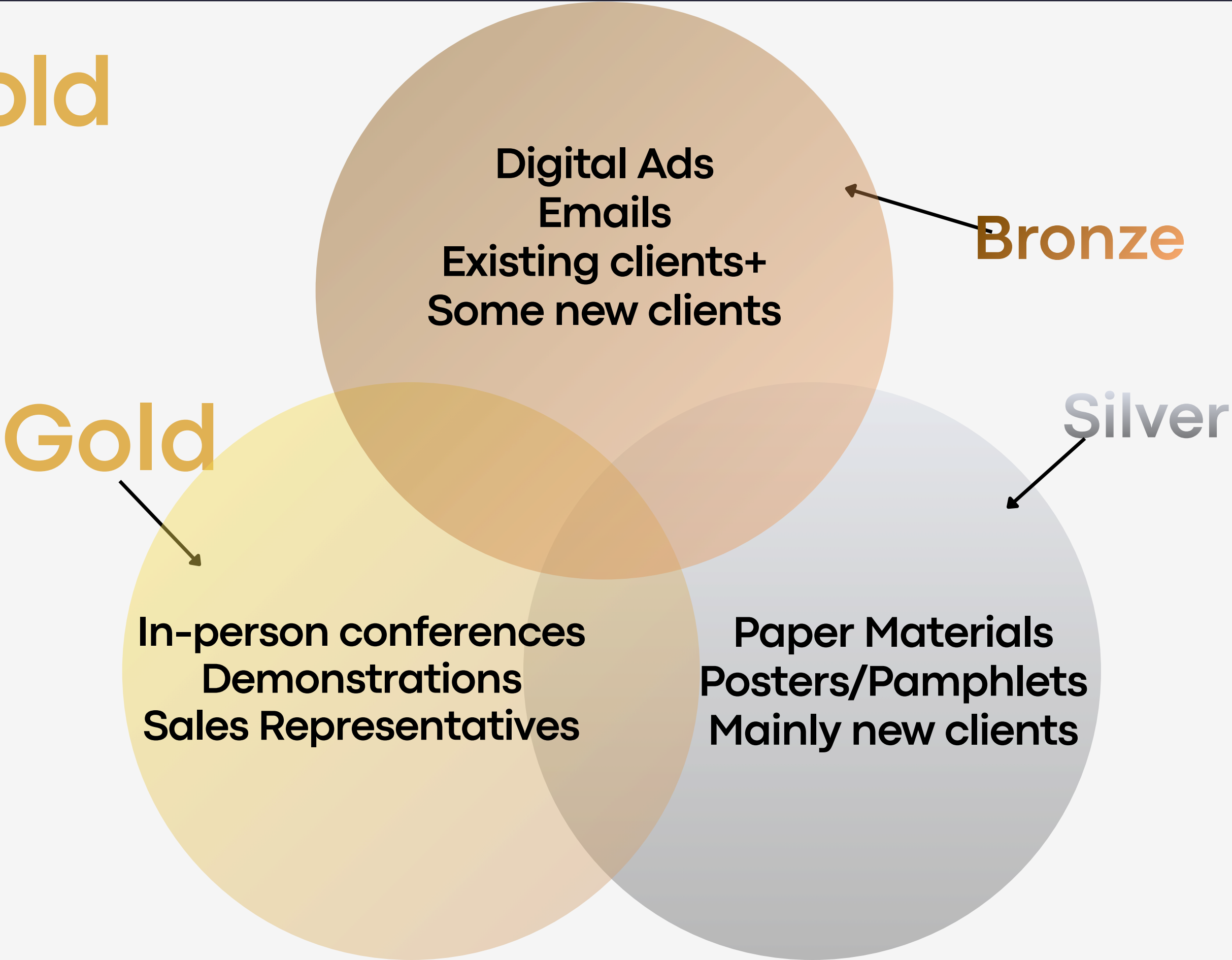
Market

- Targeting professionals
- Small market
- Fine-tuned

Mixed Strategy

- Short term
- Long term
- Education

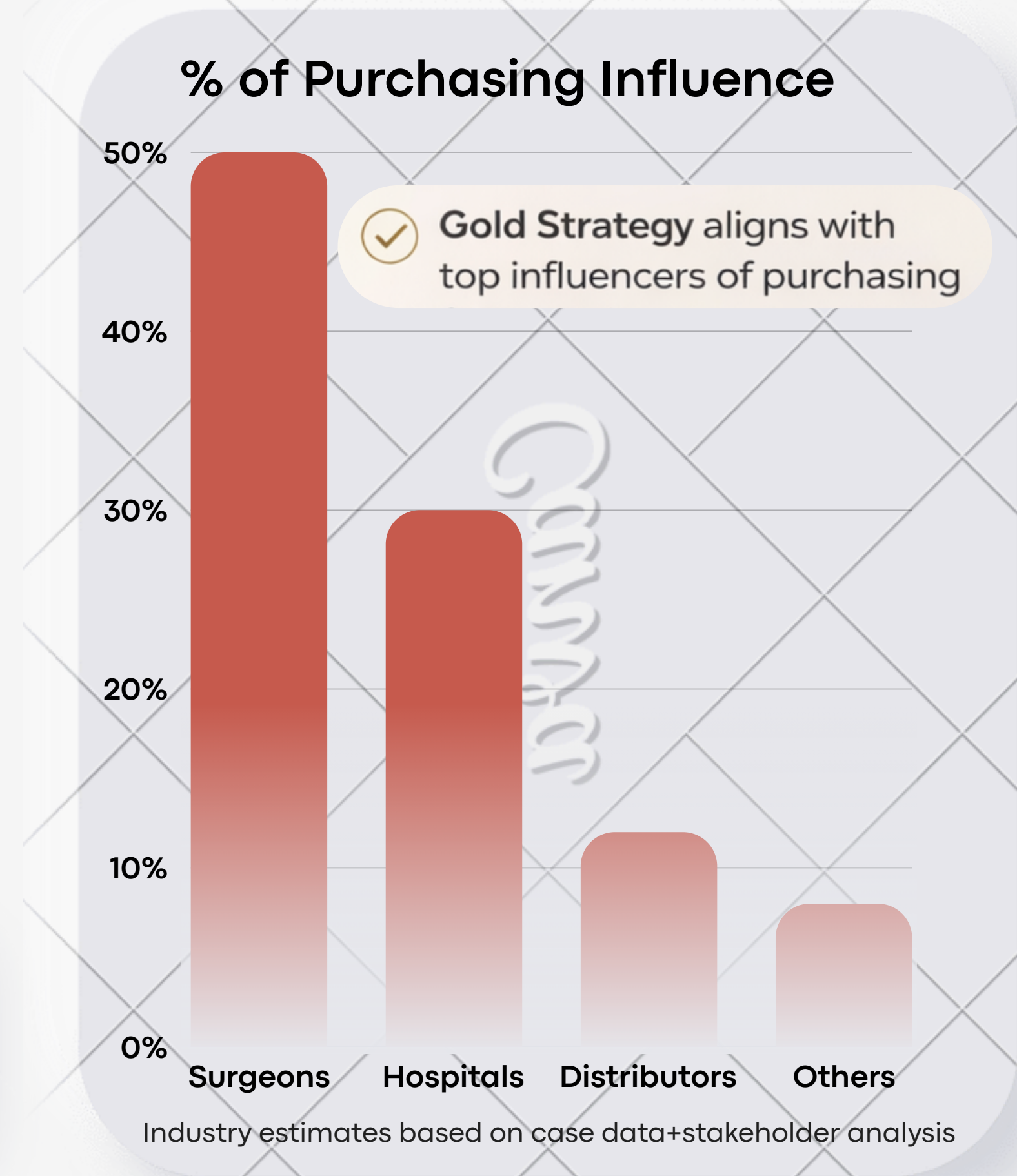
Why Gold Wins



Targeted Market

- Need surgeon familiarity + trust
- Relationship-driven, not marketing-driven

80% of surgical platforms where A&A holds top #1-2 positions



Supply Chain & Human Capital

Outsource / Plant Expansion / New Plant

Outsource ✓

Partner with external manufacturer

- ▶ Lowest CapEx
- ▶ Immediate revenue
- ▶ Variable COGS ~18.9%

Plant Expansion

Expand Cornelia, GA facility

- Moderate CapEx
- 3-year delay
- Revenue from Yr 4

New Plant

Build dedicated barbed facility

- Highest CapEx
- 5-year delay
- Revenue from Yr 6

HUMAN CAPITAL · BASE (Required — Outsource SC eliminates the HC decision)

33%→20%

SG&A % NTS Yr 0→Yr 10

No CapEx

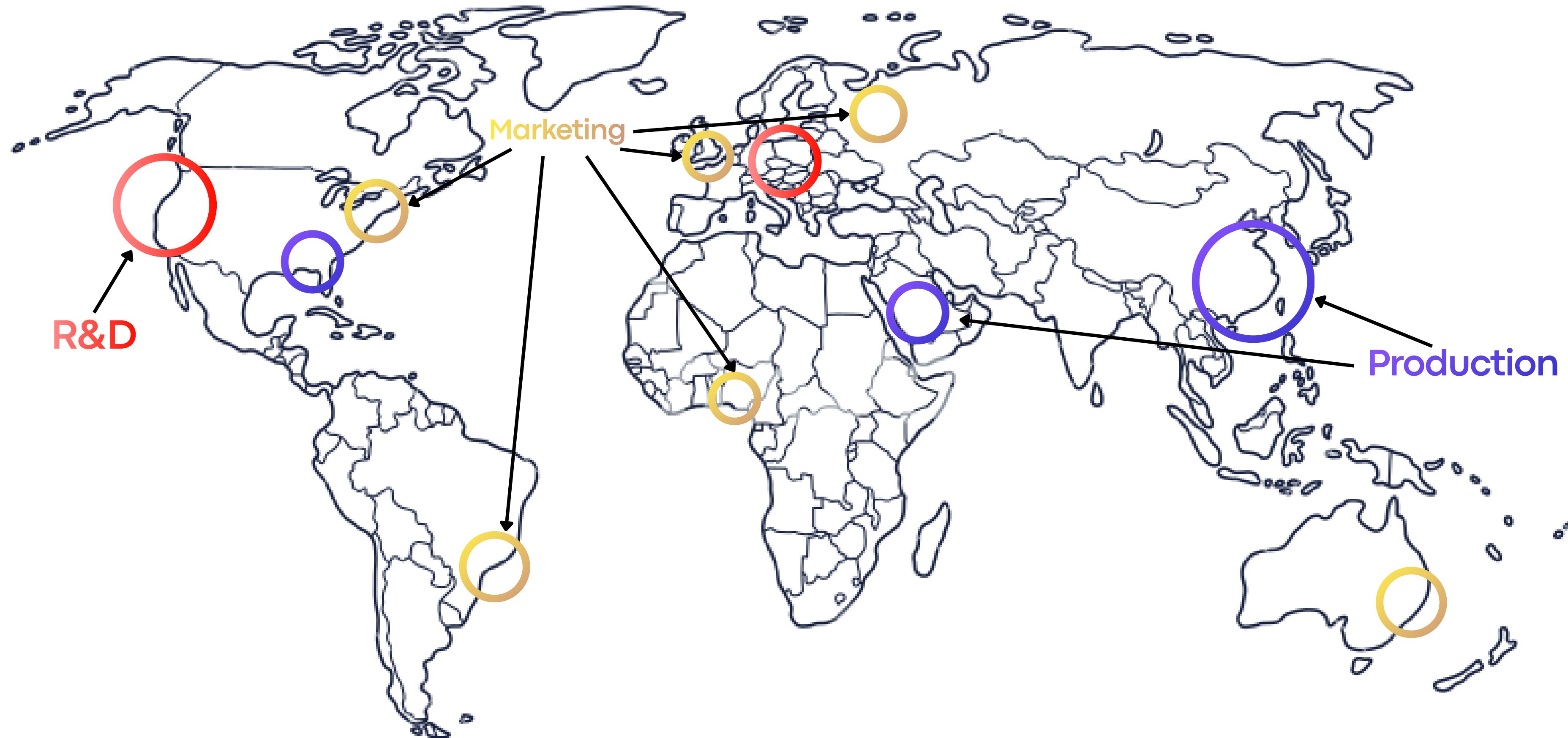
HC hiring deferred

Scalable

Floor, not a ceiling

Outsource frees capital for IP acquisition and Gold marketing — the two highest-ROI decisions in the model.

A&A's Global Infrastructure



Financial Analysis

How decisions translated into value

11%

A&A Growth Rate

Outpacing Market

56.4%

Beginning Market Share

Start position Year 0

85.8%

Peak & ending Share

+29.4pt gain over 10 years

4 years

Payback period

CapEx=discounted cash flow

\$116B

Cumulative net sales

High sales*medium pricing combination

76%

Cumulative gross margin

\$88.2B gross profit

\$23.2B

NPV@ 7%

+10.6B baseline

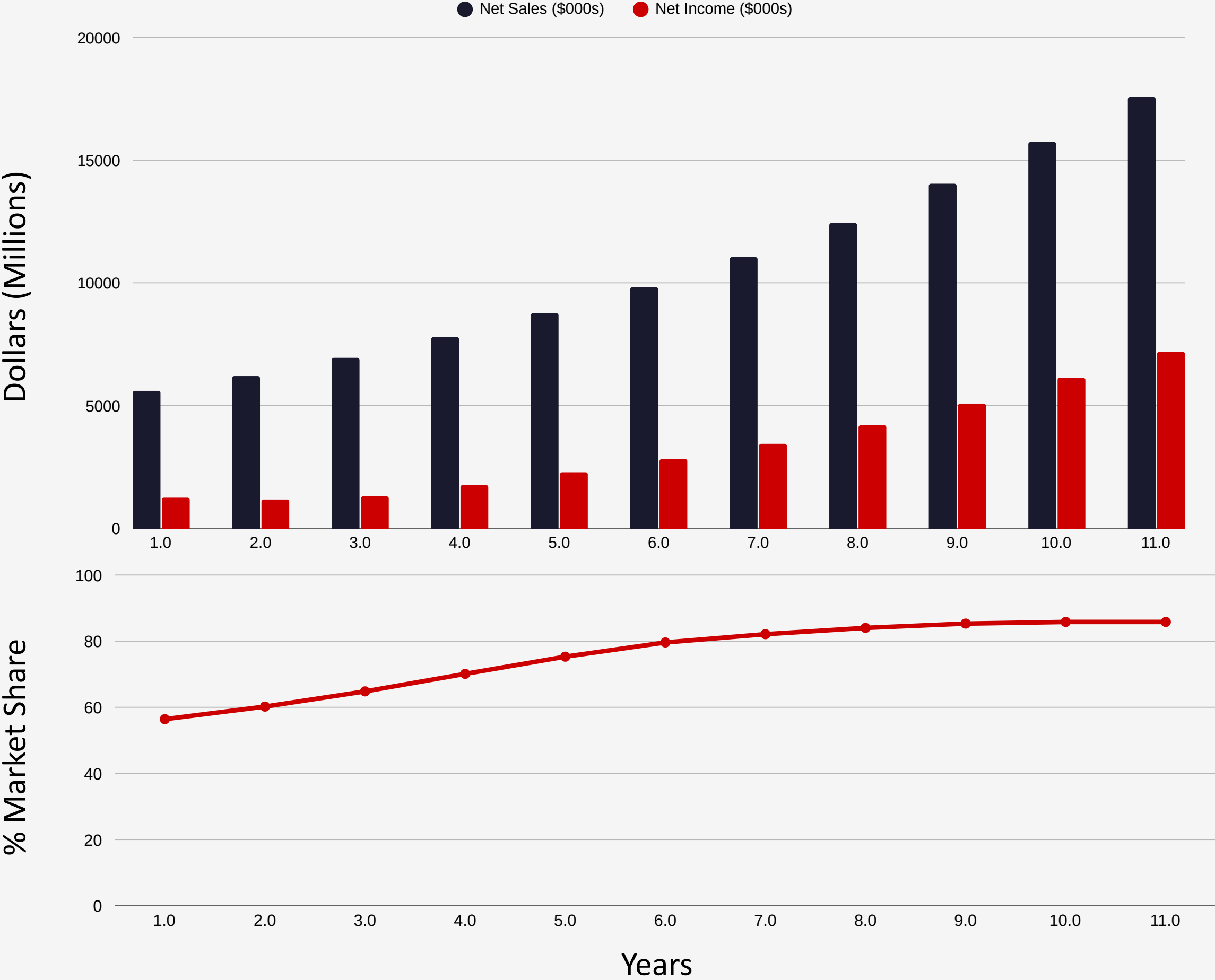
IRR > 7%

Clears cost of capital

Strategy creates value for stockholders

REVENUE, NET INCOME & MARKET SHARE

Financial Analysis 2 of 3



~11%
Revenue CAGR

\$5.6B → \$17.6B

+29%
Share Gain

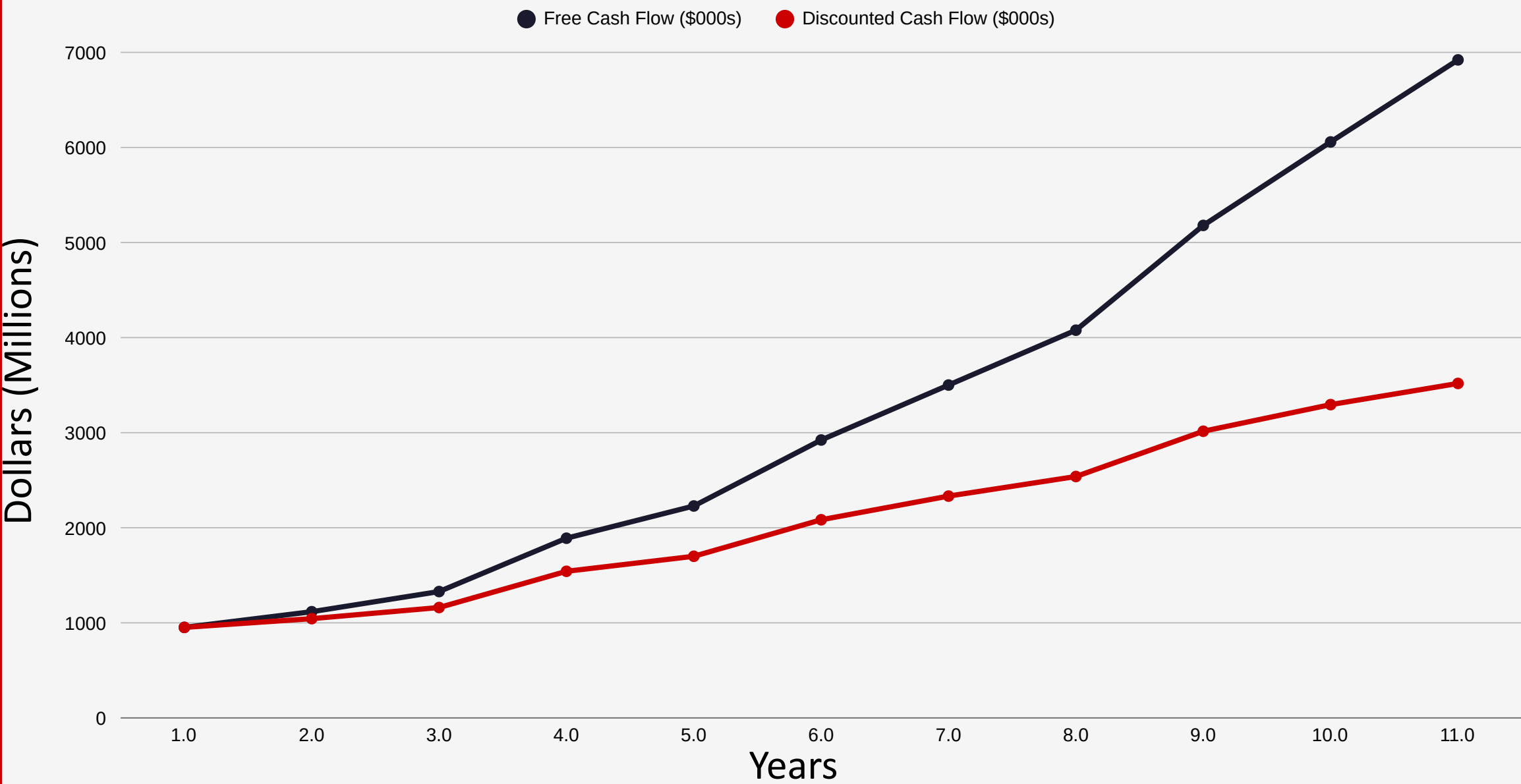
56.4% → 85.8%

69%→81%
Gross Margin

12% expansion

22%→41%
Net Margin

Operating leverage



\$23.2B

NPV @ 7%

FCF: \$952M → \$6.9B

Cumulative FCF: \$36.2B

Discount Rate: 7%

DECISION → FINANCIAL IMPACT

Internal Spiral	▸ +\$2.4B NPV Owned IP → no royalty drag on highest-volume product → supports 76% avg gross margin
IP Symmetrical	▸ +0.88B NPV Immediate market entry → beginning share 56.4% vs. lower with internal development
Medium Pricing	▸ +3.92B NPV 80% market reach at healthy ASP → GP 69% (Y0) climbing to 81% (Y10)
Gold Marketing	▸ \$1.6B NPV 29pt share gain → \$116B cumulative revenue vs. significantly less with Silver/Bronze
Outsource SC	▸ +\$2.4B NPV COGS variable ~18.9%

Sensitivity Analysis

Analyzing the competition

SENSITIVITY ANALYSIS

NPV Impact of Decision Changes

NPV remains positive and relatively stable under all primary downside scenarios

VARIABLE	BASE	DOWNSIDE	UPSIDE	BASE NPV	DOWN NPV	UP NPV	KEY INSIGHT
Marketing Tier	Gold	Silver	N/A	\$23.2B	~\$21.8B	N/A	\$1.4B NPV at risk - confirms Gold is non-negotiable
Pricing	Medium	Low	High	\$23.2B	~\$19.8B	~\$24.7B	Medium is NPV optimum, accounting for A&A values
R&D: Symmetrical	IP Purchase	Internal	N/A	\$23.2B	~\$20.8B	N/A	Internal dev delays entry — rivals deepen hospital relationships during the gap
R&D: Spiral	Internal	IP Purchase	N/A	\$23.2B	~\$21.4B	N/A	IP purchase adds royalty drag. Internal is superior long-term
Supply Chain	Outsource	New Plant	N/A	\$23.2B	~\$22.1B	N/A	Plant expansion CapEx costs ~\$3M NPV + 3yr revenue delay

Critical path: Pricing has the single largest NPV downside if changed. Market growth rate is the most sensitive external variable.

Competitive Analysis

How A&A's portfolio competes in the barbed suture market

COMPETITIVE ANALYSIS

A&A vs. Others

Why A&A wins: Only player launching both technologies simultaneously with relationships Crius and Athena cannot match.

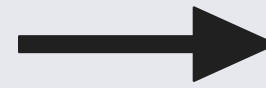
COMPANY	PRODUCTS	PRICE	MKT	STRENGTH	WEAKNESS	STATUS
A&A (Our Strategy)	Spiral (internal, first-to-market) + Symmetrical (Kronos IP)	Medium	Gold	Dual-tech + brand + global scale	Premium cost structure	LEADER
Crius (Poseidon)	Poseidon - \$11.9B revenue.	—	Est.	Market since 2010, strong hospital base	No spiral product	RIVAL
Athena (Kronos)	Kronos - Patent 1999 \$221M	—	Targeted	Early IP + bidirectional portfolio	Small scale vs. A&A	RIVAL
Others (Hades / Apollo)	Preclude AJA, GAIA	Var	Niche	Technology disruption potential	Limited OR penetration	DISRUPTOR

Values-Driven Strategy

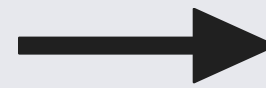
Credo: "We believe our first responsibility is to the patients, doctors and nurses, to mothers and fathers and all others who use our products and services."

WHO WE SERVE

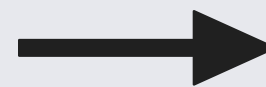
Patients



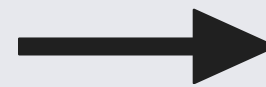
Employees



Community



Stockholders



HOW WE SERVE

**Proprietary &
Acquired Sutures**

**Outsourced
Manufacturing**

Global Expansion

NPV-Positive Strategy

Why This Strategy Wins

01 Spiral Dominance

No rival product exists. Internal dev puts A&A first in the premium segment.

02 Volume + Margin

Medium + Gold is the only combination driving 85.8% share AND 32% margins.

03 Efficiency

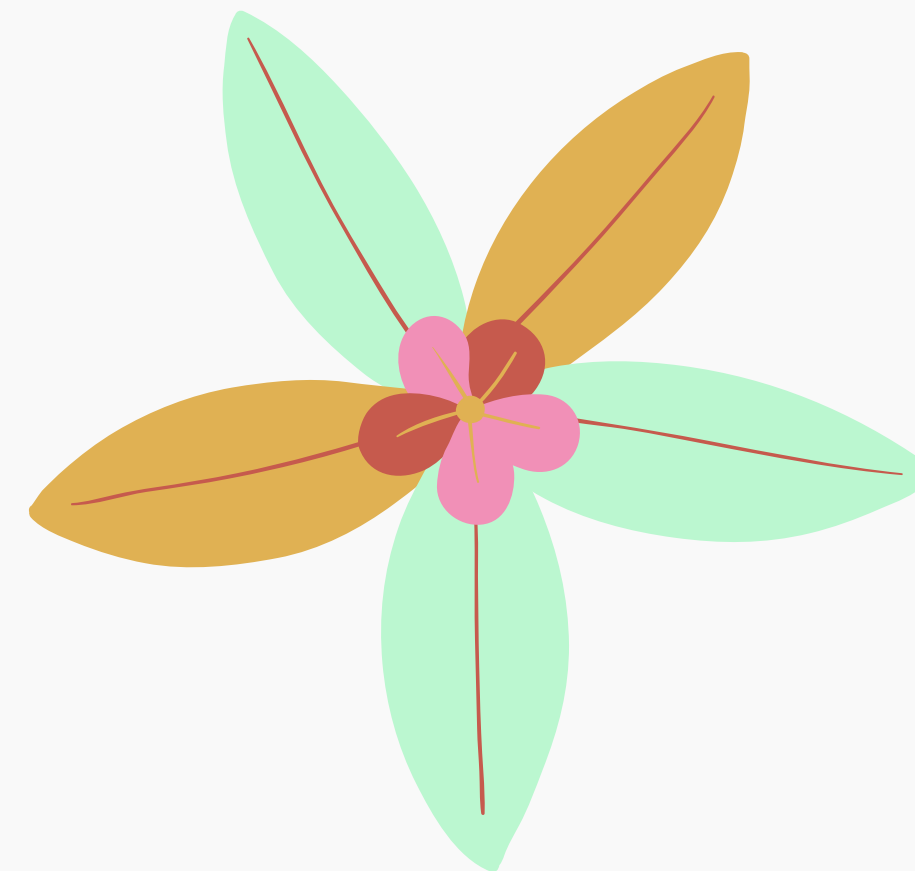
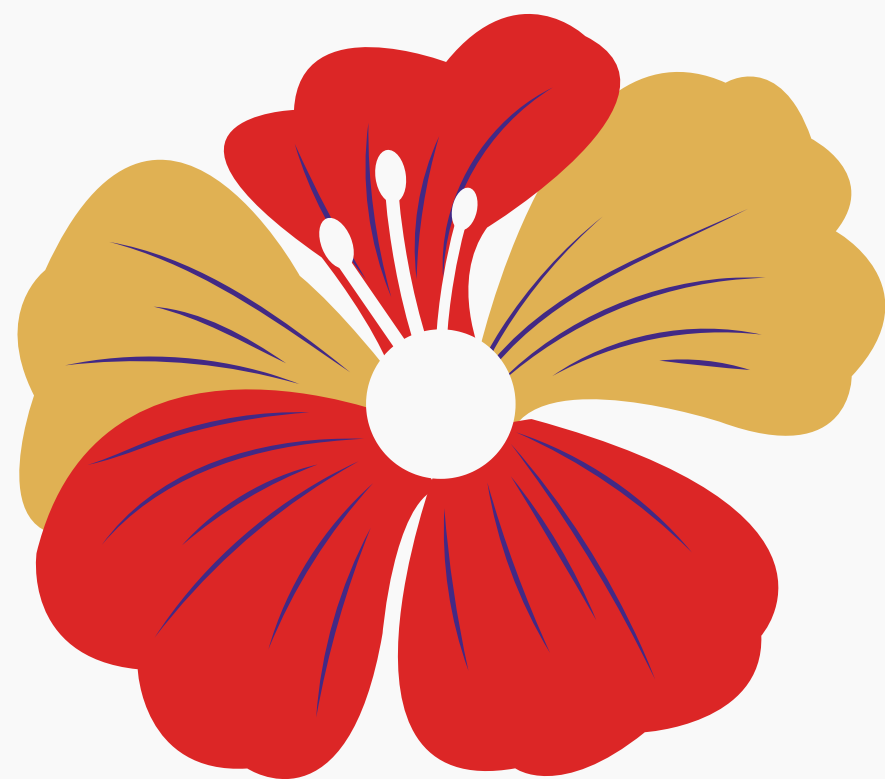
Outsource + Base HC redirects capital to IP and marketing for the highest ROI decisions.

04 Value

\$23.2B NPV. FCF grows 7x. Compounding earnings, not a one-cycle spike.

05 Scalable

Outsource SC and Base HC are floors. Model flexes up if market outperforms.



THANK YOU!